

SIKIA  
Low

## COMPANY LAW II

### PAGE NAVIGATION

|                                                             |           |
|-------------------------------------------------------------|-----------|
| <b>CONTROL AND MANAGEMENT OF COMPANIES.....</b>             | <b>2</b>  |
| <b>ENFORCEMENT OF MEMBERS RIGHTS.....</b>                   | <b>13</b> |
| <b>COMPANY DIRECTORS.....</b>                               | <b>19</b> |
| <b>MONITORING OF DIRECTORS.....</b>                         | <b>31</b> |
| <b>INDOOR MANAGEMENT RULE.....</b>                          | <b>37</b> |
| <b>DOCTRINE OF HOLDING OUT (OSTENSIBLE AUTHORITY) .....</b> | <b>40</b> |
| <b>SHARES.....</b>                                          | <b>42</b> |
| <b>RAISING CAPITAL BY COMPANIES.....</b>                    | <b>46</b> |
| <b>CORPORATE GOVERNANCE.....</b>                            | <b>53</b> |
| <b>COMPANY INSTRUCTIONS TO COUNSEL.....</b>                 | <b>55</b> |
| <b>CORPORATE CRIMINAL LIABILITY .....</b>                   | <b>61</b> |

## CONTROL AND MANAGEMENT OF COMPANIES

There are two main organs that govern the company;

1) *Shareholders/General meeting*

2) *Board of directors*

### SHAREHOLDERS

These are sometimes referred to as members. They are the supreme controlling body of the company. They have the mandate to decide on most important matters in a company e.g., appointment and removal of directors, change of Articles and memorandum of Association, increase share capital, and winding up.

#### Powers of shareholders

Shareholders exercise their powers through meetings for example statutory meetings, extra-ordinary general meetings, and class meetings.

#### Company meetings

Company decisions are basically made by meetings of the shareholders. Meetings are a method of corporate governance and therefore it is important for companies to hold meetings in order to effectively exercise their right to the control and direction of the company. *In the matter of Igara Growers Tea Factory Limited, Misc. Cause No32/2020*, in referring to the case of *Byng v London Life Association [1990] Ch. 170* where it was held that the rationale behind meetings is that members should be able to hear and be heard at the meeting, the High Court held that all members attending should be able to participate together in the proceedings as one meeting and, consequently, no business can be validly conducted at any meeting that does not meet these requirements.

## *Types of Company Meetings;*

### 1) **Statutory meeting.**

**Section 137** shows that a statutory meeting is a kind of general meeting that is supposed to be held by every public company limited by shares or guarantee and having share capital.

**Section 137(10)** exempts private companies from holding a statutory meeting

This meeting is held with a view of giving the shareholders an opportunity to discuss the way forward of the newly formed company for example appointment of directors, investment, and management decisions. Subject to **Section 222(b)** failure to hold this meeting can be a ground of winding up a company.

### 2) **Annual General Meeting;**

AGM for Public companies: The Annual General Meeting (AGM) is mandatory for public companies. The need for public companies to hold a general meeting is provided under **Section 138(1) of the Companies Act, 2012**. Such a general meeting is held once a year and the law requires that not more than 15 months should elapse between the date of one general meeting and that of the next. A monetary default fine of twenty-five currency points (UGX 500,000/=) is imposed on the company and every officer of the company who defaults in complying with the requirement under **Section 138(1)** of the Act.

AGM for Private companies: A private company may also hold an AGM at the requisition of a member. It is not legally mandatory for private companies to hold AGMs. However, if a member requests that an AGM be held, then a private company is required to oblige. In circumstances where the private company refuses to oblige to member's request, an aggrieved member may apply to the registrar of companies who may call or direct the calling of a meeting. Where there is non-compliance with the decision of the registrar, the company, together with every officer of the company who is in default, is liable to a fine of five currency points (UGX 100,000/=) (under **Section 138(2), (4) and (8) of the Act**).

In this meeting members discuss and approve the companies accounts, appoint directors, auditors, as well other matters affecting the company.

### **3) Extra –Ordinary General meeting;**

It is only held for urgent and necessary matters before the AGM. Members have a statutory right to require the directors to convene an EGM. An extraordinary general meeting is convened by the directors of a company upon the requisition of the members holding not less than one tenth of paid-up capital of the company or not less than one tenth of total voting rights of all the members. The one tenth of paid-up capital or voting rights is at the date of right to vote at general meetings of the company. It is meant to address urgent and unplanned situations within the company. In *Re El Sombrero*, the company's articles provided that the quorum for the meeting was two. The applicant wished to remove the directors but none of them attended and there was no quorum. The applicant made application to court. Court directed that the meeting be held and that one member would constitute a quorum.

### **4) Class meetings;**

Held by members of any particular class of shares. A company can have different classes of shares, hence whenever members of any class of shares convene and meet to discuss matters concerning their class of shares a class meeting is said to be held.

## **CONVENING MEETINGS**

### **1) There must be authority to hold the meeting**

A general meeting should be convened on the authority of the Board of Directors. The board of its own accord or on the requisition of the members can convene the meeting. If the board refuses to convene the meeting a court order can be obtained to order the board to hold the meeting (*Re El Sombrero case*)

### **2) Notice of the meeting must be given**

Notice of the meeting should be given to members entitled to attend.

- Length of notice: **Article 50** of table A provides that every general meeting shall be called by at least 21 days<sup>9</sup> notice in writing.
- Persons entitled to receive notice; Notice must be given to every member. In **Young v. Ladies Imperial Club**, the expulsion of the plaintiff was invalid because one member had not been given notice of the meeting.
- The contents included in the notice are key; **Article 50 (2) Table A** shows that notice shall specify the *place, day and hour of the meeting, and in case of special business, the general nature of the business must be stated*. In **Young v Ladies Imperial Club**, one of the reasons for invalidating the expulsion of the plaintiff was that the notice did not adequately disclose what kind of business would be transacted. This notice should be distinguished from a **<special notice>**. A special notice is only given when,
  - Directors are to be removed –Sec 195
  - Appointing a director aged 70 years –Sec 194
  - Removal of an auditor

**Article 54(1);** if within half an hour quorum is not present the meeting shall be dissolved, and adjourned to the same day in the next week. **Article 54(2);** if again members are absent, any member present shall constitute quorum.

### 3. Quorum

In **Re Shanley Contracting** court noted that a valid meeting must consist of more than one person.

**Article 53(1) of Table A** shows that business shall not be transacted at a general meeting with less quorum of members. **Article 53(2) of the Table A** shows that 3 members present is quorum. In **Re London Flats Ltd**, court held that a meeting of fewer members than required by law is invalid.

However, courts have recognized a meeting of one to constitute quorum in certain circumstances as seen in **Re-El Sombrero**

#### 4. Chairman

There must be a chairman to preside over the meeting subject to **Article 55 (1) Table A**. The chairman must be appointed via the Articles of Association. However, if the Articles do not provide for so and there is no chairman or if the chairman delays to appear within 15 minutes, the directors present shall elect one of the members to be the chairperson subject to **Article 55(2) Table A**

The chairman has a duty to act in good faith, ensure that business is conducted in an orderly manner, and allow points of view to be adequately expressed, decide whether amendments to motions are admissible, and sign minutes of the meeting.

#### 5) Voting

Voting is by show of hands. **Article 58(1) Table A** shows that a resolution put to the vote at general meeting shall be by show of hands. However, if a poll is demanded (if a member tries to contest the vote) before declaration of the result by a chairperson, the result of the vote by show of hands can be nullified. The demand of a poll nullifies the result received by shows of hands.

In **Re Express Engineering**, the company director's meeting and resolution to issue debentures was valid since it had been agreed to by everyone who voted by show of hands.

**Article 58(2) of Table A** shows that if a poll is not demanded, a declaration by the chairperson that a resolution by show of hands has been reached and entered in the minute books shall be conclusive evidence that the resolution was made.

A director has a right to vote as a shareholder. **Article 62** shows that every member present has one vote, and on a poll every member shall have one vote and on a poll every member shall have one vote for each share of which he is the holder. In **North West Transportation v. Beatty**, a director voted as a shareholder in a general meeting for the company to purchase his boat. Court held that this was valid. A share is a property right that the holder can use. The director rightly used his right as a shareholder.

Even when a shareholder is under bankruptcy, he or she can attend and vote subject to the decision in **Morgan v. Gray**

On a poll, **Article 67** shows that votes can be given personally or by proxy.

## 6) Proxies

A proxy is a person appointed to act on behalf of a member. **Article 68(1) of Table A** requires an instrument appointing a proxy to be in writing and signed by the appointer or his /her attorney. **Article 68(2) of Table A** shows that a proxy need not be a member of the company. The form of an instrument appointing a proxy is that under **Article 70 of Table A**. Subject to **Article 72 of Table A**, the instrument appointing a proxy confers authority to demand or join in demanding a poll. A vote given in accordance with an instrument of proxy is valid subject to **Article 73 of Table A**.

Execution of Proxies: A proxy holder should prove his identity at the time of the meeting.

## 7) Minutes

Every company must keep minutes of both company meetings and board minutes.

## 8) Resolutions



## **Basics of Company Resolutions**

Before understanding the types of resolutions passed by a company, it is important to first know the organs of a company

### **Organs of a company**

A company has 2 organs, and it is these two organs which are supposed to take key decisions in a company.

1. General Meeting
2. Board of Directors

*(NB: Shareholders are not an organ of a company and cannot pass any resolutions)*

**ORGAN 1: General Meeting:** This is duly constituted at either the AGM or EGM subject to **Section 138 and 139, and Article 48 and 49 of Table A**

A company can hold two types of general meetings that is;

1. The Annual General Meeting (AGM)
2. The Extra Ordinary General Meeting (EGM)

Each one of the above can pass a special resolution <Special Resolutions= are normally passed at the AGM or EGM. *<If where the law requires that a special resolution should be used and it is not used, the action taken is not legally executed on grounds that the proper procedure was not followed. In Necta (C) Ltd v. Crane Bank, special resolution was passed yet the law required for a board resolution, court found this to be an illegality.*

*What type of resolution can be passed at the General meeting?* The General meeting can **only pass Ordinary Resolutions, and Special resolutions.**

Note: The current law under **Section 98(8)** *abolished* ~~<Extra –Ordinary Resolutions=~~ and these are now called Special Resolutions. It follows therefore that the General meeting can only pass special and ordinary resolutions.

**Ordinary Resolutions:** These are required in only those matters where the law specifically requires them E.g., **Section 195** specifically requires an ordinary resolution. Also, in matters as may be provided for by the Article of Association.

**Special Resolutions:** These can only be passed at the General meeting. The law may require special resolutions. E.g.; **Section 148** provides for a special resolution. **Section 231** requires a limited liability company to alter its memorandum so as to render unlimited liability of its members through a special resolution. **Section 10** requires a special resolution while altering the objects of the memorandum. **Section 16**, alteration of articles of association can only be done by a special resolution. **Section 76** requires a special resolution for reduction of share capital (**RE MTN Village phone Uganda**) other instances where a special resolution might be used, is if the Articles of Association of the company requires that it should be used in some instances.

## **ORGAN 2: Board of Directors**

The board of Directors can only pass ~~<Board Resolutions=~~. They do not pass special or ordinary resolutions. The board only passes a board resolution in cases where the law requires it or in cases where the company Articles of Association requires for it.

It should be noted; that much as the board of directors only pass ~~<Board resolutions=~~ there is an exception under the **Insolvency Act Section 139** which requires for a ~~<special resolution=~~ by the board on appointment of a provisional administrator.

## Formalization of Resolutions

A resolution of a company is not the <Extract= that is filed at the company registry. The real resolution is that passed in a company meeting. The law requires companies in their meetings to take minutes in minute books. **Section 152** provides for minutes of proceedings of meetings of a company to be made and kept in minute books. These minute books must be signed by the chairperson and this amounts to evidence of holding the meeting. Once signed, **Section 198(d)** requires that the minute book is kept with the company secretary

## Registration of Resolutions

If the law requires a particular resolution to be registered, it must be registered. **Section 150 of the Companies Act** highlights resolutions required by law to be registered to include; *special resolutions, Resolutions which have been agreed to by all the members but which if not so agreed to, would not have been effective for their purpose, All resolutions or agreements which effectively bind all the members of any class of shareholders though not agreed to by all those members.*

## Signing of Resolutions

These must be signed by members. **Section 59** provides for authentication of company documents. It provides that a document requiring authentication may be signed by a director, secretary, or authorized person and need not be under seal. In **Necta (U) Ltd v. Crane Bank**, the company's memorandum of association listed 7 directors. A resolution was signed by only 2 out of the 7 directors. Court found that the resolution was void since majority of the directors had not signed as it was required under the Articles of association which provided that all the 7 directors had to sign.

Note; Signing of resolutions by the directors does not mean that the resolution was passed by the directors.

## SUMMARY: Role and functioning of Shareholders at General Meeting

- Can cause convening of the meeting
- Failure to cause convening by the directors can result into shareholders seeking a court order
- Role ascribed to shareholder at general meetings in a residential one. In **Barron v. Potter**, it was found that in some circumstances the powers of the board will revert to the shareholders. By special resolution, shareholders can give directors to directors
- If directors exceed their powers, shareholders can intervene.
- If there is deadlock in management, shareholders can intervene.
- If directors act *malafide* shareholders can intervene
- Shareholders have a right to vote at general meetings
- They have a right to polls
- Entitled to be given notice of company meetings
- They can seek for removal of directors at general meetings.
- They have a right to take part in general meetings for resolutions for the company to borrow money or invest money etc.

## LATEST TRENDS IN HOLDING COMPANY MEETINGS: THE TREND OF VIRTUAL MEETINGS

Most company Articles of Association require that company meetings are to be held physically. However, since the outbreak of the COVID-19 pandemic which restricted physical gatherings, company meetings were held online via platforms like Zoom, Google meetings etc. Even after the pandemic, companies continued to hold meetings online as it had become more convenient for them.

The question then arises as to whether companies holding meetings online yet their articles of association require for physical meetings do this right? The proper answer is NO! Having meetings in a way not provided for in the Articles of Association renders the meetings void.

*Is there a remedy?* Yes!

1. The Company can amend its articles in order to allow for virtual meetings. **Section 16 of the Companies Act, 2012** provides that a company may, by special resolution, alter its articles.
2. If it is not practical for a company to hold a meeting in a way required by its Articles of Association, the company can apply to court under **Section 142 of the Companies Act, 2012** for an order to hold the annual general meeting in the most practical way.

**Section 142(1) of the Act** provides that:

*<Where for any reason it is impracticable to call a meeting of a company in any manner in which meetings of that company may be called or conduct the meeting of the company in the manner prescribed by the articles or this Act, the court may of its own motion or on the application of any director of the company or of any member of the company who would been titled to vote at the meeting order a meeting of the company to be called, held and conducted in the manner the court thinks fit.>*

In *the Matter of Stanbic Uganda Holdings Limited, Misc. Cause No 108/2020*, the High Court granted the company leave to convene AGM for the year ended December 31, 2019 by electronic means for the reason that given then existing COVID-19 circumstances and legal regime, with the ban on public gatherings and meetings, the company could not convene a physical meeting due to a large membership of about 22,500. In *the Matter of*

*Igara Growers Tea Factory Limited*, Misc. Cause No 32/2020, the court granted leave to convene the AGM at a time when COVID-19 guidelines can allow for in-person meeting given that majority of the company's 6,310 members were *bona fide* tea farmers and were <not likely to take benefit of the current technological advancement of holding a virtual meeting=.

## ENFORCEMENT OF MEMBERS RIGHTS

### 1. THE RULE FOSS V. HARBOTTLE AS A WAY OF ENFORCING MEMBER'S RIGHTS

The decision in the case of **Foss v. Harbottle** brought up two principles. These were well stated by *Lord Davey* in **Burland v. Earle** (more clearly than in *Foss* itself) where he said.

*<Court will not interfere with the internal management of companies acting within their powers. Again, it is clear law that in order to redress wrongs done to the company, the action should be brought by the company itself=*

A cursory look at the statement above shows that two separate rules exist;

- The first is that <courts will not interfere in the internal management of companies.
- The second (which bears the rule in *Foss v Harbottle*) is that for wrongs done to the company, the proper claimant is the company itself. This rule incorporates the rule in **Percival v. Wright**, that director's duties are owed to the company and not to the shareholders. Secondly it embodies the *Salomon v Salomon doctrine* that a company has its own right to sue as a separate legal entity.

## Exceptions to Foss v. Harbottle

Courts have with time come up with exceptions against the rule in *Foss v Harbottle*. These are,

1. **Ultravires and illegality:** If the act is ultra vires or illegal by statute, an individual shareholder can bring a suit. Illegality is an improper action by the company which gives the shareholder a personal right to require the company to abstain from the illegality. In **Smith v Croft** court said that *if illegality took place or not depended on where the illegality had taken place, a shareholder has a personal right to restrain the commission of the illegality, but the company has a right to recover damages against those who had caused it.* In **Oregum Gold Mining v. Roper**, an individual shareholder could bring an action against directors who illegally issued shares at a discount.
2. **Violation of personal rights of shareholders;** sometimes the Articles of Association give the shareholders rights which they can enforce against the company. The case of **Wood v Odessa** shows the supremacy of rights in the Articles of Association over an ordinary resolution in a general meeting. It follows therefore, that violation of provisions in the Articles of Association can give a shareholder a personal right to sue the company. In the case of **Misango v. Musigire**, the plaintiff argued that in the meeting, the company altered the articles of association to his detriment. Non shareholders had attended the meeting and voted. Court held that the plaintiff could maintain a suit in his own personal right since there was an infringement to his right
3. **Fraud on the minority:** - Fraud is an illegality which cannot be enforced by any court as stated in the case of **Kampala Bottles v. Damanico**. Once it is established that the company directors exercised fraud against the shareholders, a suit can be lodged. Therefore, if majority shareholders divide assets of the company amongst themselves,



to the exclusion of the minority, this amounts to fraud and a suit can be brought. In **Cook v Deeks**, the directors had made contracts to themselves and this amounted to fraud on the minority.

In **Monier v Coopers**, the defendant's company had made a resolution to wind up the plaintiff company, in order to give themselves an economic advantage. Shareholders brought an action challenging the resolution. Court held that the step done by company D amounted to fraud on the minority and a personal action could be maintained.

When you look at this exception, it is actually an exception to both rules in *Foss v Harbottle* as I stated them earlier. The first rule being that courts should not interfere in the internal management of companies. Clearly in **Cook v Deeks**, the court interfered in the company's internal management and this shows that the exception was as well applied in this case.

4. **Breach of Articles of Association:** This gives a shareholder a personal right to sue the company. In **Edwards v Halliwell**, the shareholders challenged their union and the executive committee for increasing the union dues by majority resolution which was contrary to the article of association. Court held that the shareholders could maintain this action. In **Wood v Odessa**, we earlier saw that the rights of shareholders in the articles of association are supreme over any resolution passed in a company meeting.
5. **Interest of justice:** - In **Daniel v. Daniel**, court held that the shareholders could sue because the directors had sold the company's plot of land to one of their fellow directors. Court held that the rule in *Foss v Harbottle* could not be applied in the interest of justice.



6. **Not following proper procedure:** Even in a situation where the constitution of the company requires for a special resolution in order to do something, if the company tries to do it by ordinary resolution, a shareholder can bring a suit (Edwards v Halliwell)

7. **Derivative action: -**

There is a difference between a <personal action= and a <derivative action much as shareholder litigation can be brought under these actions as exceptions to the rule in *Foss v Harbottle*.

A personal action is when the shareholder is claiming that some personal right of his has been infringed. This was the matter in **Wood v Odessa** where a shareholder was claiming that he had a personal right to have a particular clause of the Articles of Association enforced against the company.

A <Derivative action= enables the shareholder to enforce the right which is vested in the company to sue its directors for breach of duty. It gets its name from the idea that the *shareholder's right to sue is derived from the company's right*. Here the shareholder is suing as agent of the company on behalf of the company and any damages recovered go to the company. In **Moir v. Wallersteiner** court explained that an action is derivative when the action is based upon a primary right of the company but it is asserted on its behalf by the shareholder because of the company's failure or deliberate refusal to act upon the right. It is a suit where a shareholder enforces the company's cause of action.

It is basically brought when those in control of the company are allegedly at fault. In **Atwool v Merryweather**, the plaintiff was permitted to proceed with the suit brought in derivative form on behalf of himself and all of other shareholders in the company.

However, damages won in the suit go to the company. The risk of payment of costs at common law laid on the shareholder who brought the action. This seemed unfair and

courts developed a process called **Wallersteiner Orders**. This was a product of Lord Denning in **Wallersteiner v Moir**, and it was a system under which the shareholder bringing a derivative action could obtain from the company, an indemnity for costs he may become liable for.

However, with time we saw some courts resisting this approach. This is because it had become a tendency by shareholder litigants to go for derivative suits without notice of the company and then ask for indemnity later on. Companies would therefore find themselves paying for cases which were groundless. This is why in **Smith v. Croft**, court took the view that an independent board of directors would not want the action to go ahead and court thus struck out the suit.

## 2. ENFORCEMENT OF MEMBERS RIGHTS UNDER STATUTORY LAW

A member can enforce his or her rights under statutory law and not common law (*Foss v Harbottle*). This means that a member can as another alternative bring an independent action without using the rule in *Foss v Harbottle*.

Among these include;

### 1. Winding up of the company under a *just and equitable cause*.

**Section 268 Companies Act** shows that courts can wind up a company if it is satisfied that it is just and equitable to do so. The Act however does not show what amounts to just and equitable, and resort is made to case law. In **Ebrahim . Westbourne Galleries**, court said that the petitioner must satisfy court that although there is another remedy that is open to him, he is not acting unreasonable in seeking a winding up. In **Re East African Tobacco Co**, court refused to grant an order for winding up since it was not just and equitable. The petitioner had argued that the company's account had not been audited and that the balance sheet had not been presented. Court explained that <unless the main objective of the company has

failed, that is when you can opt for enforcement of a winding up for a just and equitable cause.

## 2. Relief against oppression

This is found under **Section 248 CA** where a shareholder can seek for winding up of the company. Under this remedy, the shareholder must satisfy court through a petition that the affairs of the company are being conducted in an oppressive manner. For a petitioner to succeed, he / she must be a member of the company and must sue in his capacity as a member. In **Re Nakivubo Chemists**, court held that for a petitioner to succeed under Section 248, he / she must show not only that he has been oppressed but also that the affairs of the company have been conducted in an oppressive manner. He must also show that he was affected in his capacity as a member of the company. In **Re Bellador Slick**, the petitioner failed to prove that we had been oppressed as a minority member and that the evidence availed could not justify winding up.



SIKIA  
Low

## COMPANY DIRECTORS

### Who is a director?

Directors are persons to whom management of a company is vested in. A director may be a natural person or another company. **Section 2 Companies Act** defines a director to include any person occupying the position of a director by whatever name called. It follows therefore that a director can be called another name e.g., governor or trustee.

Directors as agents; In **Ferguson v. Wilson** court explained that the position of a director is similar to that of an agent in that he can bind his principal (the company) by his acts without incurring personal liability.

Directors as trustees; In **Charitable Corporation v. Sutton** court compared directors to trustees because they owe fiduciary duties to the company. However, they are not true trustees because the legal title to the company's property is vested in the company.

Directors as *alter ego* of a company; Courts have tended to regard the state of mind of the directors as the state of mind of the company. In **Stanfield v. National Westminster Bank**, court held that the proper person to answer interrogatories served on a company was the director or other similar officer.

Directors are not servants; Directors are not servants of the company unless they have a separate contract of service with the company.

### Number of directors in a company:

Subject to **Section 185**, every public company must have at least two directors and every private company must have at least one director.

## Appointment of directors:

- 1) **First directors:** When a company is formed, the first directors are appointed by the subscribers to the memorandum. The persons named as directors upon incorporation are deemed to have been appointed as first directors.
- 2) **Subsequent directors:** These are appointed using the usual method of appointment by the company in a general meeting by ordinary resolution. **Section 194** provides for appointment of directors to be voted individually at a general meeting.
- 3) **Alternate directors:** An alternate director is appointed by a director to act for him at board meetings which he is unable to attend. Appointment can only take place if the Articles of Association provide for so.
- 4) **Qualification shares:** Sometimes appointment of the directors may depend on whether he/she has the qualification shares. **Section 193** requires a director to have the required shares for qualification.

### Defects in appointment

Subject to **Section 191** a director's acts are valid despite any defect that may afterwards be discovered in his appointment. In **Dawson v. Africa Consolidated Land**, a call was disputed by some members on grounds that the director had parted with his qualification shares. Court found that the call was valid. The defect in appointment was set aside.

It follows therefore that; **Section 191** only applies to technical defects in appointment and qualification. It cannot validate an improper act. In **Morris v. Kanseen**, K and C were the first directors of a company. Following a dispute between them C and S planned to deprive K of his directorship by falsely claiming that S had been appointed director and forged an entry in the minute book. Later C and S appointed M as director. K sued. Court held that M's appointment could not be validated by law.

## PERSONS WHO MAY NOT BE APPOINTED AS DIRECTORS

- 1) *Undischarged bankrupts*; - **Section 200** shows that a person who has been declared bankrupt or insolvent by court and not yet received his/her discharge cannot be a director.
- 2) *Persons disqualified by court*; - Subject to **Article 88(c) of Table A**, persons prohibited by court order under **Section 201** cannot be directors (without permission of court). **Section 201** gives power to restrain a) a person convicted of any offence in connection with promotion, formation or management of the company, b) A person who in the course of winding up appears to have involved in fraudulent trading, c) A person who has been persistently in default in relation to filing documents.
- 3) *Less age directors*; - **Section 196**, a person shall not be capable of being appointed a director if at the time of appointment, he/she has not attained 18 years.

## DIRECTOR'S REMUNERATION

Since directors are not servants of the company, they are not entitled *as of right* to any remuneration. However, court in **Re New British Iron Co.**, held that if a director works for the company, he may claim remuneration on a quantum merit basis (a claim for as much as he deserves). But the prima facie rule as highlighted in **Guinness v. Saunders** is that they are not entitled to any remuneration.

However, it should be noted that **Article 76 of Table A** allows remuneration. Thus, if **Table A** is adopted in the company's articles of association, the directors can be awarded such remuneration as the company may by ordinary resolution determine. If there is no such resolution, no remuneration can be granted. **Article 76(1) of Table A** says that the remuneration of the directors shall from time to time be determined by the company in a general meeting. In **Guinness v. Saunders**, the law gave power to award remuneration. A

director who was a lawyer had been paid and it was contested that the Article of Association did not permit this. Court found that the remuneration was granted by the board of directors who had no power to award subject to the Articles of Association and that only the full board could do this. It was found that no valid meeting and resolution was made.

However, it should be noted that although **Article 76** gives permission to grant remuneration, such remuneration can be impeached if it is excessive. In **Re Halt Garage** court held that if the sums paid to the director are so out of proportion, the court will treat the payments as so high and, in the circumstances, can be recoverable.

## REMOVAL OF DIRECTORS

Subject to **Section 195**, a company can remove a director by ordinary resolution before the expiration of the period in office. It should be noted that by virtue of section 195 shareholders have authority to remove a director

The power to remove a director supersedes anything contained in the Article of Association or agreement.

<Special Notice= **Section 195** requires that a special notice must be given of any resolution to remove a director or to appoint anyone in his place. **Section 195(3)**, states that a copy of the notice must be sent to the director concerned and the director is entitled to be heard.

It should be noted that the removal under section 195 does not deprive the director of his right to damages for loss of appointment should he be automatically terminated. In **Southern Foundries v. Shirlaw**, court confirmed this but noted that a director will not be entitled to damages if he was removed as a result of his own breach of duty or contract.



An individual member has no right to compel the company to include a resolution to remove a director on the agenda of a meeting. In **Pedley v. Inland Waterways**, the plaintiff sent a special notice to the company of an ordinary resolution to remove all the directors. The company secretary refused. It was held that the plaintiff could not compel inclusion of a resolution to remove directors.

**Section 195** does not prevent the company from attaching weighted voting rights to a director's shares and a resolution for his removal. In **Bushell v. Faith**, the company's articles contained a provision that if a resolution was proposed to remove a director, the shares held by that director would carry 3 votes each. Court held that this was valid.

## TERMINATION OF DIRECTORSHIP

### Retirement

**Table A under Article 89** provides that one third of the directors shall retire by rotation in each year. Under **Section 195** a director must vacate his office at the conclusion of the general meeting commencing next after he attains 70 years of age.

### Resignation

Articles of Association usually provide that a director vacates office if he notifies his resignation of the company. In **Glossop v. Glossop**, court found that even though there is no such provision, a director may resign unless the Articles forbid him to do so. A resignation is effective as soon as it is notified to the company and cannot be withdrawn without the consent of the persons entitled to appoint a new director.

## Receivership and winding up

The appointment of a receiver in a debenture holder's action operates as a dismissal of the company's directors because the management of the company's business is taken over by an outsider. If a company is wound up by court its directors are thereby dismissed. In the **Matter of Uganda Telecom Ltd** Court granted an interim protective order, to settle the company's creditors. Notice of appointment of the provisional administrator was passed and a meeting was held and the creditors voted to appoint the official receiver as administrator of UTL. At this point all the directors of UTL were dismissed.

**Removal** (Already discussed) Section 195

## **POWERS OF DIRECTORS /BOARD OF DIRECTORS**

The Board of Directors is a group of persons who carry out the day-to-day activities of the company. Directors are the people entrusted with the day-to-day management of the company. The extent of the powers of the directors is clearly highlighted under Table A of the Companies Act.

**Exclusive nature of Directors powers;** The authority vested on the board of directors is <exclusive= and cannot be exercised by General meeting, members cannot interfere once authority is given. In **Ryanair Ltd v. Aer Lingus Group**, where the constitution expressly gives directors certain powers, the members cannot act in disregard of those powers unless the constitution reserves powers to the General meeting.

Powers;

1. Power to manage the company. **Article 80 of Table A** gives directors power to carry on everyday tasks of business. This involves hiring employees, selecting suppliers etc. Here, the members can not intervene. In **Scott v. Scott**, members in a general meeting

attempted to dictate a dividend policy. Court held that the members could not have a say on this as it was not within their powers.

2. Authority to make major management decisions eg; sale of major assets, expansions of the company, and take overs of the company. Members cannot make these decisions. In **Automatic Self Cleansing Filter v. Cunningham**, members tried to instruct directors to sell company undertaking. Court held that such authority was delegated to the directors.
3. Power to commence proceedings in company's name. In **Breckland Group Holdings v. London and Suffolk**, majority shareholders commenced an action in the name of the company without reference to the directors. Court held that conduct of business is passed on to directors not shareholders.
4. Power to bind the company in favor of a person dealing with a company in good faith. The power of the board of directors to bind the company is not limited by the company's constitution. **Section 52 CA** shows that the powers of directors are not limited by the memorandum. **Section 53** goes on to state that a person dealing with a company need not inquire about the powers of the directors to bind a company. This was the position in **Royal British Bank v. Turquand** where it was stated that, a third party dealing with a company has a right to infer that all necessary action has been taken by a company to exercise its power.
5. Borrowing powers; **Article 79 of Table A** gives directors powers of the company to borrow money, and to mortgage or charge its undertaking. These powers are not limited by the company's Articles and memorandum of Association. In **General Action Estates v. Smith**, the company memorandum of association did not provide for the borrowing powers. The company directors went ahead to borrow. Court held that a company has implied power to borrow.
6. **Article 85 of Table A** gives directors powers to sign receipts drawn or accepted by the company.

### **Director's powers only to be exercised by resolution;**

There are certain powers that directors can only exercise by passing a resolution at a board meeting. This means they are only valid when a resolution is passed at a board meeting. These include;

- Power to borrow monies, to issue securities to invest the funds of the company, to diversify the business of the company etc.
- Powers exercisable via general meeting. The companies Act shows that the Board of Directors cannot exercise the following powers without the consent of the shareholders by way of special resolution;
  - i. Power to sell, lease or otherwise dispose company undertaking.
  - ii. Invest company money.
  - iii. Borrow money.
  - iv. Remit, or give time for the repayment of any debt.
  - v. Shareholder right of intervention.

### **Shareholders intervention:**

There are instances where shareholders much as they do not have powers of the directors can intervene if the directors have acted improper. Here power reverts back to the shareholders as seen below;

1. If directors exceed their powers or exercise them improperly, their acts can be ratified by an ordinary resolution. In **Bamford v Bamford**, the directors allotted shares to another company in order to prevent a takeover bid. The shareholders objected on grounds that the allotment was not made for the benefit of the company. Court held that the allotment was invalid.
2. If the directors exceed their delegated authority, their powers can be challenged by the shareholders. In **Re Burke Clancy Ltd**, the directors borrowed money higher

than that authorized in the Articles. Court found that the shareholders/members can ratify acts which are outside the powers of directors.

3. Where director's powers are *mala fide* (that is when they work for their own interest and disregarding the interest of the company). (**Bamford V Bamford**)
4. Incompetency of the Board.
5. Deadlock in management. If this takes place, the board cannot make decisions and thus the power to make decisions then falls on members during the General meeting. In **Barren v. Potter**, the two directors of the company refused to work together. The Articles of Association did not have a provision to increase on the number of directors. It was held that due to the deadlock, the company by way of majority shareholders could take steps to ensure the running of the company by appointing other directors.
6. Residuary powers. Much as shareholders don't have a role at general meetings, it should be noted that their role at general meetings is a <residual one>. This means power can revert to them to give directions to directors. It was stated in **Bamford v. Bamford** that where the power to allot shares is conferred on the directors but they act in excess of that power, the shareholders have residuary power to validate the allotment by ordinary resolution at a general meeting.

## DELEGATION OF DIRECTORS' POWERS

Under **Section 232 of the Companies Act** a director can assign their office to another person by a special resolution of a company. **Article 80 of Table A** shows that a director can by power of attorney appoint any company or person to be the attorney with such powers of directors. The board of directors can delegate powers to board committees.

**Managing director:** Court in **Harold Holdsworth v Caddies** noted that someone with the title managing director has no special powers unless the Articles of Association expressly gives him or her such powers.

**Article 107 Table A** shows that directors may appoint one of their members as a managing director.

The Managing Directors powers and duties depend on his service agreement. Under **Article 107(2) of Table A**, the MD is not subject to retirement by rotation but that his appointment as managing director will automatically cease. In **Southern Foundries v. Shirlaw**, it was held that a managing director's service contract contained an implied condition that the company could not make it impossible for him to act by removing him as a director. When he was removed damages for breach of contract were payable.

However, if a managing director has not been appointed for a specific term, the appointment will be regarded as made on the terms of the articles of association and any period of notice will be stated therein. In **Read v Astoria Garage**, the plaintiff was appointed MD for an unspecified period. The Articles provided that the MD's appointment should be terminated if he ceases to be MD or if the company in a general meeting terminates his employment. The plaintiff was terminated and a 1 months' notice was given. He sued for wrongful dismissal on grounds that he was not given reasonable notice. Court stated that he could not bring up this implying the necessity for a reasonable notice

## **DUTIES OF DIRECTORS**

The duties of directors are provided for by common law and statutory law.

**To whom do directors owe a duty?** Company directors owe their duties to the company as a whole, and not only to individuals within the company. In **Percival v Wright**, court

noted that directors not only owe their duty to shareholders but to the company as a whole.  
(Agency and trusteeship)

Shareholders. Directors owe a duty to shareholders if they represent themselves as acting agents of shareholders. In **Allen v Hyatt**, directors held themselves out to individual shareholders as acting for them. Court considered them as agents

**Who are the duties owed by?** Any person classed as director carries the duties of directors.

- 1) Actual directors: - those registered under FORM 20 while registering the company.
- 2) *Defacto* director: - not appointed but occupies the position as director.
- 3) Shadow director:- person acting as director on instructions and directions of the actual director

#### **Common law duties**

1. Duty to act within their powers; Directors must act within the powers given to them (**Bamford v Bamford**)
2. Duty to act in good faith. They owe a fiduciary duty since they play a role of trustees in the management of the company. In **Percival v Wright** court held that a director shares a *twofold* relationship with the company (*that of agency and trusteeship*). In **British Midland Tool v. Midland Tooling Limited**, three directors knew of a plan the MD who resigned had which was to set up a rival company. They kept silent and the previous MD took all the workers until when the company collapsed. Court held that them being silent amounted to not acting in good faith.
3. Duty not to make secret profits.
4. Duty to declare interest. In **Guinness v. Saunders**, a director disclosed his interest but not all (*He disclosed part of it*). On discovery, the company sought to recover the money. Court held that the director had to pay the money arising out of the undisclosed interest.

5. Duty to avoid conflict of interest. In **Peso Silver Mines v. Cropper**, the company had rejected an offer to buy prospecting claims. One of the directors was approached and he accepted. Court held that he did this in his individual capacity and not as a director not liable.
6. Duty to act *bona fide* for the benefit of the company (**Bamford v Bamford**)
7. Duty of care, skill and diligence. In **Re city Equitable fire insurance**, Rower J said that a director must exhibit the degree of skill expected from a person of his knowledge. Must exercise reasonable care and also be diligent.
8. Duty to exercise independent decisions. Directors must exercise independent judgment. They should not delegate their power of decision making

#### **Statutory Duties / Companies Act**

- Duty to attend meetings
- Duty to hold meetings
- Duty to sign documents
- Duty to file annual returns
- Call meetings
- Manage the company

#### **Consequences of breach of these duties**

1. Removal (section 195)
2. Damages
3. Repayment of secret profits
4. Indemnifying the company
5. Shareholders can intervene
6. Imprisonment

**Relief from liability;** Court can grant relief from liability. In **Re Claridge's Patient Asphalte**, relief was granted even though the director had applied the company's money



for an *ultra vires* purpose. He had honestly believed that he was acting *intra vires*. Court granted relief basing on his honest belief.

## **PROCEEDINGS OF DIRECTORS**

Directors can meet together for the dispatch of business subject to **Article 98 of Table A**. In **Barron v Potter**, court held that directors can meet under any circumstances as long as they all agree to do so. Questions arising at the director meetings are decided by majority votes.

Notice of meeting must be given. In **Industrial Coffee Growers v. Tamale**, court started that it seems well settled law that a meeting of directors is not duly convened unless due notice has been given to all directors. In **Re Homer District**, the notice was sent at short notice. One director did not receive it while the other did but failed to get to the meeting. Court found that the meeting invalid.

## **MONITORING OF DIRECTORS**

A company is subjected to monitoring tools. It has to be monitored in order to find out whether it is legally performing its duties. Among the monitoring requirements include;

### **1. Filing annual returns**

Companies registered can be taken off the register for not filing annual returns. Annual returns are a report to the registrar of companies about the status of the company whether there has been a change in ownership of shares or membership, location or debts incurred. These must be filed every year. **Section 132 Companies Act** requires companies with a share capital to file annual returns every year.

## 2. Financial reporting

The Board of directors has a responsibility to cause financial reporting. They must ensure that books of account are kept as required by **Section 154** to show and explain the company's transactions and the financial position of the company. **Section 55** requires them to prepare a profit and loss account and a balance sheet for each financial year.

These must be duly signed by a director on behalf of the board. In **Reproduce Marketing Limited** court found that directors could not escape liability by arguing that they were unaware of the financial state of the business because the companies account was not ready in time.

## 3. Auditing

The accuracy of the accounts must be verified by independent auditors. **Section 167** requires a company at the annual general meeting to appoint an auditor. Auditors must examine the accounts of the company and they are empowered under **Section 170** to obtain necessary information for that purpose and to attend and be heard at company meetings

In **Re Kingston Cotton Mills** court found that an auditor is not bound to be a detective. An auditor is a <watchdog= but not a <blood hound= and is not designed to discover frauds.

In their reports, auditors must state whether in their opinion the accounts have been properly prepared and whether a true and fair view has been given of the state of affairs at the end of the financial year.

Auditors owe a duty of reasonable care to the company to carry out investigations to enable them form an opinion whether proper accounting records have been kept. In **Re Thomas Gerrard and Sons limited** court found that auditors must use reasonable skill and care in carrying out their statutory duty. It is the duty of the

auditors on discovering falsified invoices to make enquires and inform the board of directors of the company.

If auditors discover serious wrong doing, they should not delay to report. They are required to immediately inform management / shareholders or any 3<sup>rd</sup> party involved.

In **London and General Bank Limited**, the company had not made adequate provision for bad debts. The auditor had discovered and reported to the directors. The directors failed to make provision. The auditor did not report to the shareholders about this but instead went on to make a statement that the value of the assets is dependent. Court held that the auditor had failed in his duty to convey information clearly in his report and was made liable for certain dividends improperly paid.

Although the decision in **Caparo v. Dickman**, limits the scope of liability for auditors for their negligent misstatements in tort, if their efforts fall below the reasonable care required, they can be liable.

#### 4. Company secretary

The existence of the company secretary can in some circumstances help to provide a check on the activities of directors.

**Article 110 of Table A** :- directors shall appoint a secretary **Article**

**110(2) of Table A** :- directors can remove a secretary **Persons not eligible to be secretary**

- a) Sole director of the company
- b) Sole director of a corporation
- c) Company being sole director

The existence of the company secretary can in some circumstances help to provide a check on the activities of directors.

Status of a company secretary: - previously as seen in the case of **Barnett Hoarse**

**v. South London Tramways** court said that a secretary is a mere servant, and he has to do what he is told. He has no authority to represent anything at all.

However, this position was changed in the latter case of **Panorama Developments**

**v. Fidelis Furnishing Fabrics** where *Lord Denning* said that a *<company secretary is a much more important person now than in the past. He is the Chief Administrative Officer of the company, and is no longer, a mere clerk. He regularly makes representations on behalf of the company and enters into contract on its behalf.*=

A company secretary will be expected to ensure that the company complies with all the disclosure requirements required by law, and is also [responsible for the operation of various registered books and everything kept at the company's registered office

**Article 10 of Table A of the Companies Act** highlights the role of the company secretary. **Article 10(1)** shows that a secretary shall have a pivotal role in corporate governance through;

- Issuing notices of board and general meetings
- Taking minutes of the board and general meetings
- Counter signing company documents
- Making statutory filings of the company at the company registry
- Keeping the company's statutory books
- Guiding directors on their duties and responsibilities
- Guide on corporate governance.
- Legal representation. The Company Act shows that a company secretary can be an advocate. However, it should be noted that he/she must first get

authority or instructions of the company directors before proceeding with the legal action. In **Kabale Housing Estate v. Kabale Municipal Local Government**, court held that a suit brought without instructions is incompetent.

- On the role of issuing notices of board and general meetings, the decision in **Re State Of Wyoming Syndicate** shows us that a company secretary cannot summon a general meeting without consultation or approval of the board of directors

## FIDUCIARY DUTIES OF A COMPANY SECRETARY

1. Duty to act in good faith. A company secretary must act honestly not to receive bribe, and avoid getting secret profit.
2. Duty of care and skill. A company secretary is obligated to act with every reasonable degree of care, skill and judgment
3. Duty of account. A company secretary maybe called upon to account in the same way as the director. In **Panorama Development v. Fidelis**, the company secretary was held accountable for fraudulently ordering self-drive cars for his own use.

## LIABILITIES OF THE COMPANY SECRETARY.

1. Liability of the company for acts of the secretary.

A company secretary binds the company by his actions. The basis of liability stems from the ordinary principles of agency. In **Moore v. Bessler** the company was held liable for the acts of its secretary for using documents in a manner amounting to deceit. Liability can also arise, if a secretary HOLDS OUT as having authority to act and as a result making a 3<sup>rd</sup> party to believe that he/she has authority to act. Here, the

company can be stopped from denying the authority of the secretary, and can be liable for his/her acts. In **Panorama v. Fidelis**, a company was bound to pay for cars hired by the company secretary.

2. Personal liability of the company secretary to the <company= and <third parties=

- i. Secretary can be personally liable to the company where he acts as an agent of the company but makes secret profits or appropriates confidential information. In **Panorama Development v. Fidelis**, the company secretary was held accountable for fraudulently ordering for self-drive cars for his own use.
- ii. The company secretary can be personally liable for any fraudulent dealings done against 3<sup>rd</sup> parties even though it is done under the name of the company. In **Ruden v. Great Fingall**, liability was held not to attach to the company but the company secretary who had issued a share certificate on which he fraudulently affixed the seal of the company and also forged the signatures of two directors.



## INDOOR MANAGEMENT RULE

**General rule:** A person dealing with a company is not bound to enquire whether the internal procedures were followed before engaging in certain activities.

**Law: Section 53 of the Companies Act** provides that a party is not bound to enquire about the capacity of the company or any limitation on powers of the directors to bind the company.

*<Turquand rule=*

The Indoor Management rule was established by the court's judgment in **Royal British Bank v. Turquand** where it was stated that *<A third party dealing with a company has a right to infer that all necessary actions have been taken by a company to exercise the powers conferred to it=*.

The Judicial approach in regards to the indoor management rule in Uganda

The High Court in 2018 in the case of **CTM v. Allmuss** held that, *<it would make business very difficult if persons dealing with a company in good faith would have to ascertain that the internal procedures of the company have been complied with*. In this case, the court recognized the indoor management rule.

However, in 2021 we saw the same court taking a different approach in the case of **Necta v Crane Bank Ltd.** In this case the contest was over a special resolution passed by the director to borrow money from Crane Bank. The company resolution was not signed. Court invalidated the resolution and required that the bank had to prove that a meeting authorizing the company to borrow money from Crane Bank was held. Court failed to apply the indoor management rule.

The two decisions above show that the High court has been inconsistent with its position in regards to the applicability of the indoor management rule.

In another case of **Charles Harry Twagira v DFCU Bank**, the plaintiff denied ever passing a resolution to borrow money from the bank. The bank agreed that a resolution to borrow was not required. Court applied the rule in *Turquand's case* and Section 53 of the Companies Act and held that outsiders are not obliged to know the internal affairs of the company when dealing with a company.

In **Gorton Tea Estate v. Traders (2019)**, the case based on the nullification of a land sale agreement on grounds that there was no resolution authorizing the company to enter into the said land transaction. Court applied the *Turquand rule* and held that the company had no obligation to establish whether or not the resolution was passed.

## **EXCEPTIONS TO THE INDOOR MANAGEMENT RULE**

### **Knowledge/notice of an irregularity**

The rule has no application where the party affected by an irregularity had actual notice about it. In **Morris v Kensen**, court held that to allow directors (insiders) to take benefit of the indoor management would amount to encouraging ignorance and condoning the departure of looking at the affairs of the company.

### **Suspicion of an irregularity**

The indoor management rule does not apply in circumstances surrounding contracts which are suspicious and therefore require any reasonable person to inquire about their validity. In **Hatton v Northard Lowe**, the director was holding directorship in two companies and agreed to apply the money of one company in payments of debts of another company. Court stated that this was unusual to any reasonable man dealing with the director and thus called for an enquiry as to whether the director had authority to make such a transaction.

**Forgery (Fraud):** A forged document is a total nullity in the eyes of the law. Any transaction which requires forgery is an exception to the indoor management rule. In



**Kampala Bottles v. Damanico**, court held that fraud is an illegality which can not be enforced by any court of law. In **Ruben v. Great Figall Consolidated**, the plaintiff transferred a share certificate which had a forged signature of the directors. Court found that the forgery was part of the internal management of the company and the company was stopped from denying the genuineness of the document. The rule in *Turquand*'s case could not be applied to run away from liability.

**If the actions of the directors are *ultra vires*, their transactions are void.** This means that the person dealing with the company must know what was stated in the company's Articles of Association. Where the acts are *ultra vires*, the indoor management rule does not apply. However, if the articles are silent about the powers of a particular officer, the outsider can get protection under the *doctrine of holding out*.

The doctrine of holding out allows directors to delegate. An outsider can assume that the person he or she is dealing with is a director dealing on behalf of the company and has authority to do so. Therefore, in cases of holding out, the outsider cannot rely on the rule in *Turquand* if the articles of association expressly disallowed any kind of apparent authority. The doctrine of holding out is to help an outsider not to go through rigorous inquiries.

## DOCTRINE OF HOLDING OUT (OSTENSIBLE AUTHORITY)

The doctrine of holding out is applicable when a person knowingly permits another to represent him or her as a partner of the company.

So, if a person has no authority to act and was holding out as having authority to act and as a result makes a 3<sup>rd</sup> party to believe that he had authority, the company can be stopped from denying the authority of that person. In **Freeman and Lockyer v. Buckhurst Park**, a company was bound by a contract entered into by a person acting as its managing director with its consent although he had not been formally appointed.

### Conditions for enforcing liability against the company

*Lord Diplock* in the **Freeman and Lockyer case** summarized four conditions which must be fulfilled to entitle a 3<sup>rd</sup> party enforce liability against a company;

A representation that a person holding out had authority to act for the company. This representation must be made to the 3<sup>rd</sup> party. In **Panorama v. Fidelis**, a company was bound to pay for cars hired by the company secretary who was holding out.

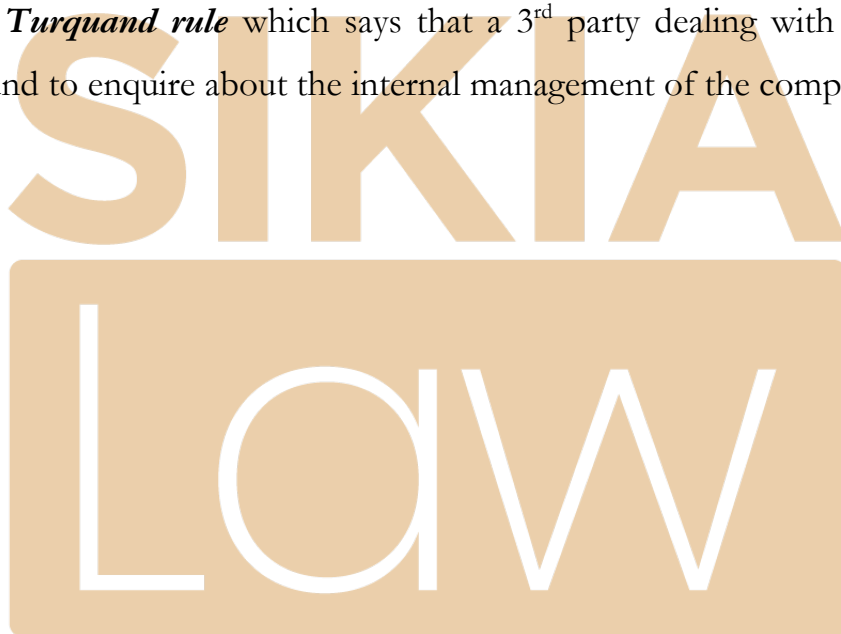
The representation must be made by a person having <actual= authority to manage the company. If the board of directors acquiesces or accepts the person holding out to proceed, the company can be held liable. In **Hely Hutchinson v. Brayhead**, it was held that the chairman of the board had actual authority to act as managing director arising from the fact that the other directors had acquiesced in him acting as the chief executive although he had never been appointed

The 3<sup>rd</sup> party must by rely on the representation, be induced to enter into the contract

### **Freeman and Lockyer case & Hely Hutchinson case**

There must be no circumstance precluding the 3<sup>rd</sup> party's reliance

- i. The 3<sup>rd</sup> party must not have knowledge that the person holding out has no authority. In **Rolled Steel v. BSC** court held that with knowledge of the irregularity, the company could not rely on a presumption of regularity in the company's internal management since the defendants <knew= about the lack of authority.
- ii. The 3<sup>rd</sup> party's reliance should not be over powered by the fact that he/she should have inquired from the company's constitution to find out whether the person the third party was dealing with had capacity or authority. This calls for the ***Turquand rule*** which says that a 3<sup>rd</sup> party dealing with a company is not bound to enquire about the internal management of the company.



SIKIA  
Low

## SHARES

**Section 1 of the Companies Act:** - A share is the share capital of the company, and includes stock.

A Share according to **Borland's Trustee v Steel Bros** is an *<Interest of a shareholder measured by a sum of money, for purposes of liability or interest=>*

When company is formed, the subscribers are deemed to be members. Each get a share certificate to prove that he or she owns shares in the company. Such shares are grouped into classes.

### TYPES OF SHARES

**Ordinary shares:** - Ordinary shares of members all rank equal.

**Preference shares:**

These carry preferential rights to a fixed dividend.

Characteristics of preference shares;

- They are the first to receive dividends at a fixed rate whether the company has made profits or not. If the company does not make profits, the dividends of the preference shareholders can be carried forward to the next year.
- The holder is entitled to cumulative dividends
- If company goes into liquidation, they will enjoy first priority over all other classes.
- They do not have rights in a general meeting to vote, except where their rights are being varied in a general meeting

## TRANSFER OF SHARES

Upon signing a share sale agreement, a shareholder can pass on his/her shares to another person. The vendor remains the legal owner and in effect is holding the shares on trust of the purchaser. The purchaser only becomes the full owner when his/her name is registered as a shareholder. The vendor must hand over a <transfer instrument= and <share certificate= to the purchaser who then sends them for registration. Upon registration he/she gets a share certificate.

1. During transfer of shares, the fellow shareholders are given first priority over any person.
2. If there is a restriction to transfer shares in the Articles of Association, no transfer can be made. In **Tett v. Phoneix**, the Articles of Association prohibited the transfer of shares outside the company. A member made a transfer without the board's knowledge. Court held that the transfer was invalid.

## FORFEITURE OF SHARES

**Article 33-37 of Table A:** - If a member fails to pay for capital on call, the directors can issue a notice within 14 days calling him to pay. If the shareholder does not pay, directors pass a resolution to forfeit the shares. Members with unpaid shares owe an obligation to the company to pay for those shares. In **Rukikaire v Incafex Limited**, *Justice Lillian Tibatemwa* said that when a company calls upon the shareholder to make payment for the unpaid shares he or she must respond. This is made by the company during its operation or when it is wound up.

## RULES OF RAISING CAPITAL

A Company can issue shares at a premium. If this happens the extra value must be transferred to a <Share premium account=. These can be used for other purposes. In

**Drown v. Gaumont Pictures Limited** court held that a company could use a premium to pay a dividend to shareholders.

A Company cannot purchase its own shares. In **Trevor v. Whitworth**, the insolvent company was in liquidation. The Articles of Association provided that any share may be purchased by the company. Court held that even if the power to purchase its own shares was in the memorandum the purchase was void.

A Company cannot pay for dividends using its capital subject to Article 116 of Table A. Dividends can only be paid out using company profits. In **Flitcroft's case**, the directors who allowed payment of debts using company capital were order to refund it.

It is illegal for a company to give financial assistance for acquisition of its shares. In **Belmont Finance v. Williams**, Group A wanted to buy Belmont from Group B without paying for the shares with their own money. It was argued that the purchase would be financed from Belmont's own assets. Court held that the arrangement was illegal.

A Company cannot issue its shares on a discount. In **Ooregum Gold Mining Co. v Roper**, the issue of shares at a discount was held to be illegal.

Capital must not be returned to members. In **Belmont Finance v. William**, members used proceeds of a sale to buy shares in the company. This was held to be illegal.

A share has only one vote unless otherwise indicated in the Articles of Association. In **Bushell v Faith** the Articles of Association gave a director 3 votes. Court held that he would use them.

## **ALTERATION OF SHARE CAPITAL**

Share capital can be, increased, reduced, consolidated, subdivided, converted or cancelled.

**Section 76 of the Companies Act** requires a special resolution for reduction of share capital. In **Re MTN Village Phone Uganda Limited**, MTN village Phone Ltd sought

court's confirmation of reduction of the company's share capital. Court established that a special resolution had been passed and thus granted the application for the reduction of the share capital.

Under **Section 73**, share capital can be increased

## **MAINTENANCE OF SHARE CAPITAL**

The doctrine of maintenance of capital is to the effect that share capital must be maintained as a fund of last resort for the creditors of the company to look up to. It should not be used to pay dividends.





# SIKIA

Low

## RAISING CAPITAL BY COMPANIES

A company has many ways it can get funding of its activities.

### COMPANY BORROWING/ BORROWED CAPITAL

A trading company has powers to borrow even when its Memorandum and Articles of Association are silent about it. In **General Auction Estates v. Smith**, the company memorandum of association did not provide for the borrowing powers. The company directors went ahead and borrowed. When a dispute arose, court held that a trading company has implied power to borrow and issue company property as security for loans.

### Securities a company may give upon borrowing

A company may secure borrowed funds on the following securities;

- i. Charges
- ii. Debentures

#### Debentures

*Section 2 of the Companies Act* defines a debenture to include stock, bonds and any other securities of a company whether constituting a charge on the assets of the company or not.

It means a document that either creates a debt or acknowledges it. In **Edmonds v. Blaina Furnaces**, court said that a debenture is an acknowledgement of a debt. It is the instrument that imports an obligation or covenant to pay.

It can be secured or unsecured.

- i. A secured debenture where there are particular company assets charged in the debenture deed eg land.
- ii. An Unsecured debenture is one that is not attached or charged to a particular asset.

What if a company fails to pay on an agreed date of the debenture?

- i. A debenture holder can file a suit against the company for the principal and accumulated interest.
- ii. Can file an application to court for liquidation.
- iii. Can appoint a receiver to manage the any of the company assets against the company.

## Charges

**Section 2 of the Companies Act** defines a charge as a form of security for the payment of a debt or performance of an obligation consisting of the right of a creditor to receive payment out of some specific fund or out of the proceeds of the realization of specific property and includes a mortgage.

A charge may either be FIXED or FLOATING

**Creation of a charge:** In *United Builders Pty Ltd v Mutual Acceptance Ltd*, court noted that whether a charge is floating or fixed will depend upon the intention of the parties, to be gathered from the terms of the document creating the charge and from surrounding circumstances. In this case, the words of charge are equivocal as to its precise nature but the surrounding circumstances, sufficiently reveal an intent that the charge should be a floating, not a fixed charge.

## **Types of Charges**

### **i. Fixed Charge**

A charge is fixed if it attaches a specific property, eg where the company owns land and pledges such land as security for a loan, or through creation of a mortgage. It gives the charge holder an immediate proprietary interest in the assets and restricts the company's ability to deal with the assets; for example, the company would not be able to sell the asset without the consent of the charge holder.

## ii. Floating Charge

A floating charge is a security given by a company to a chargee to secure payment obligations. A floating charge is commonly created over a range of tangible and intangible assets such as stock in trade, raw materials, goods in manufacture, cash in hand, book debts and shares.

In **Re Yorkshire Woolcombers**, Romer LJ outlined three characteristics to determine a floating charge. ***First**, it is a floating charge when there is a charge on a class of assets both present and future. **Second**, that class is one which in the ordinary course of the business of the company would be changing from time to time. **Third**, when it is contemplated by the charge that, until some future step is taken by or on behalf of the mortgagee, the company may carry on its business in the ordinary way so far as concerns the particular class of assets charged. By its nature, the floating charge will include future assets that do not exist at the time the charge is created*

**Creation of a floating charge:** A floating charge is usually created by an instrument expressed to cover the debtor company's undertaking or its present and future property; it is adequate that the agreement manifests an intention to charge the company's present and future assets.

### **Crystallization of floating charge to be a fixed charge**

Crystallization is the conversion of a floating charge into a fixed charge over any assets given as security on the occurrence of certain events.

There are few circumstances where crystallization could take effect;

#### **1. Default in the repayment of the loan by the company.**

2. **A negative pledge clause in the charge document which restrict subsequent charges.** The clause imposes on the borrower the duty not to grant security in the charged property to subsequent creditors or to restrict the borrower from using the charged property as security for future loans. In other way, the clause restricts the lender to create any further charges either fixed or floating, over the same assets in favour of another lender unless the company has obtained the prior consent from the first chargee. In ***Re Connolly Bros Ltd (No 2) [1912]***, a company issued debentures to lender, creating a floating charge over all its property, present and future, the debenture provided with negative pledge clause that the company was not to be at liberty to grant any other mortgage or charge in priority to the debenture. The court in this case held that *the negative pledge clause prohibits all the subsequent charges created by the company without the consent of the lender and hence all the subsequent charges are not valid. Negative pledge clause is binding on the company and its breach amounts to breach of covenant in the charge document which may allow the lender to enforce the charge.*
3. **When other creditors have instituted proceedings against the company, such as execution proceedings.** In ***Evans v Rival Granite Quarries Ltd [1910]*** highlighted that in the event of floating charge, the judgment creditor will have the priority over the proceeds from the sale of the stock in trade unless the floating charge was crystallised before the completion of the execution proceedings.
4. **In the event that the company ceases to carry on business or winding up, the floating charge can be crystallised.** This has been proved in the case of ***Re Woodroffes (Musical Instruments) Ltd [1985]***, the Hong Kong and Shanghai Bank had the right to convert the floating charge into fixed charge when the company stopped to carry on the business.

5. **Appointment of a receiver makes all floating charges to crystallize and become fixed charges.** In *Kisii Petroleum Products Limited v. Kobil Petroleum* it was held that appointment of receiver is one of the events that cause a floating charge to crystallize. Therefore, a holder of a floating charge cannot object to an attachment of company assets which are subject to the charge, unless he had taken steps to turn it into a fixed charge. In a Kenyan case of *Douglas Watson v. Kenya Cold Storage foods*, it was held that without steps to convert the floating charge into a fixed charge, the floating charge remains that and cannot be used to prevent an attaching decree holder from proceeding with the execution process.

However, an unregistered charge cannot be enforced by appointing a receiver. In *Trans Africa Assurance Company Limited v. National Social Security Fund*, the issue was whether unregistered charge can be enforced through appointment of a receiver? Court held that where a debenture creating power to appoint receiver was illegal and unregistered it can be challenged successfully.

6. **Automatic Crystallization.** The charge may provide for automatic crystallization if the debtor company allows its external borrowing to exceed a stated figure, fails to pay a sum due under the charge within a specified period of the due date, allows a judgement against it by some other creditor to remain unsatisfied for more than a stated. In *Re Manurewa Transport Ltd*, the debenture provided that the charge would automatically crystallize if the company created another charge over its assets ranking in priority of the first floating charge. In *Re Panama*, court found that the charge instrument required that there would be automatic crystallisation if a receiver was appointed by the court or creditor under a debenture. Court held that when this happened, automatic crystallization took effect.

## REGISTRATION OF CHARGES

All charges must be registered. Company must keep a register of all the charges affecting its property and it must be available for inspection by members and creditors of the company.

*Effect of non-registration;* If charge created is not registered by the company, the charge is void. The Security becomes void against a liquidator, an administrator, and any creditor of the company. In *Trans Africa Assurance Company Limited v. National Social Security Fund*, the issue was whether unregistered charge can be enforced through appointment of a receiver? Court held that where a debenture creating power to appoint receiver was illegal and unregistered it can be challenged successfully.

## PRIORITY OF CHARGES

- i. ***Fixed Charges Take Priority Over Floating Charges if created over the same assets.*** In *United Overseas Bank Ltd v Forward Overseas Credit Ltd*, court found that generally, a fixed charge prevails over a floating charge unless the floating charge was first and the fixed chargee knew of the prior charge.  
Exception: Where debenture includes a negative pledge, a fixed charge may not take priority over a floating charge. In *United Overseas Bank Ltd v Forward Overseas Credit Ltd* court noted that a Floating charge will have priority if the floating charge document contains a negative pledge clause and the holder of the fixed charge has actual notice of the negative pledge clause.
- ii. ***If two fixed charges are created over same assets, the first fixed charge in time of creation will have priority.*** If both fixed charges are properly registered, the earlier charge will have priority. In *Re Benjamin Cope &*

*Sons Ltd*, court noted that, if there are two fixed charges on the same property, the fixed charge which is created earlier is in priority to the fixed charge which is created later. This is so provided both the fixed charges are registered.

- iii. *If two floating charges are created over same assets, the first floating charge in time of creation will have priority.* In *Re Benjamin Cope & Sons Ltd*, court found that between 2 floating charges, the first in creation prevails.
- iv. *Registered v Unregistered charge.* A registered charge has priority over an unregistered charge.





SIKIA  
Low

## CORPORATE GOVERNANCE

The **OECD Principles of Corporate Governance** defines *Corporate Governance* as a set of relationship between a company's management, its board, its shareholders and other stakeholders.

The **Companies Act 2012** provides a framework for governance of companies and it introduced a code of corporate governance. **Section 14(1) and (2)** show that a public company or a Private company may at the time of registration adopt and incorporate into its Articles the provisions of the code of corporate governance contained in **Table F**.

**Table F** enshrines the code of corporate governance in Uganda.

### Need for proper corporate governance in Uganda

Some companies in Uganda practice poor corporate governance. This is why in **Mark Xavier Wamala v. Stephan Aisu**, *Justice Kiryabwire* took judicial notice of this sad state of corporate governance in Ugandan Companies and he pointed out that it has become notorious for companies not to maintain company records like a register of members.

There is therefore need to adopt proper corporate governance practices in Uganda.

### PRINCIPLES OF CORPORATE GOVERNANCE

These apply to all types of corporate organizations. The **OECD Principles of Corporate Governance 2006** cover 5 areas; The rights of Shareholders, Equitable treatment of shareholders, Disclosure and transparency, and the responsibility of the board.

Among the principles include;

1. Openness. Members need to know what is going on in the company so that they make informed decisions. **Article 1 of Table F** shows that the board is accountable for the performance and affairs of the company.

2. Honesty. **Article 1(1) of Table F** shows that the directors in the performance of their duties are inter alia expected to act in good faith. (*Guinness v. Sanders*)
3. Transparency. **Article 21(2) of Table F** shows that reports shall be transparent, reflect accountability and comprehensive. (*Guinness v. Sanders*)
4. Independence. This is aimed at avoiding conflicts of interest. (*Peso Silver mines v. Croppers*)
5. Ethical behaviors. **Article 16 of Table F** shows that a code of ethics must be set for all stakeholders and there must be commitment to do it.
6. Accountability. Article 1(1) Table F shows that the Board is accountable for the performance of its duties. Article 11 shows that the board is responsible for the total process of risk. (*Flitcroft's case*- directors told pay back capital paid as dividends)
7. Fairness. All stakeholders must receive equal consideration. **Article 20 Table F** provides for relations with shareowners. **Article 15(2)** highlights the integrated approach to stakeholder reporting. (*Brady v Brady*- all interests of stakeholders must be considered.)

## **THEORIES OF CORPORATE GOVERNANCE**

Agency Theory: This deals with the relationship between the principal, such as shareholders and agents such as company executives and managers. According to this theory, shareholders who are the owners can appoint the managers/agents to manage the company on their behalf. **Section 194** shows that shareholders can appoint directors in a general meeting.

Stewardship Theory: Managers who identify with the company are highly committed to organizational values and are more likely to serve organizational ends. It places the managers responsibilities under one executive, with a board comprised mostly of in-house members.

## COMPANY INSTRUCTIONS TO COUNSEL

The thumb rule is that no advocate can act for a client without receiving instructions from that client. This is expressly highlighted in **Regulation 2(1) of the Advocates (Professional Conduct) Regulations** which is to the effect that <No advocate shall act for any person unless he/she has received instructions from that person or his/her authorized agent.= A suit taken on by counsel without instructions from a company he or she is purporting to be representing can be rendered incompetent and dismissed for lack of instructions from the competent directors of the company. In **Kabale Housing Estate Tenants Association v. Kabale Municipal Local Government Council (S.C Civil Application No. 15 of 2013)** Hon. Justice Kitumba held that <a suit brought without instructions is incompetent. Counsel must appear in court with full instructions and authority from his client. Failure to do so, makes an advocate to be acting on his own and will not be entitled to costs.= The Hon. Justice quoted the case of **Danish Mercantile Co. Ltd v. Beaumont & Anor [1951]** where Jenkins L.J at page 687 stated that, <I think the true position is that a solicitor who starts proceedings in the name of a company without verifying whether he has proper authority to do so or under an erroneous assumption of authority does so at his own peril.... And the action is not properly constituted...and it is a nullity and can be stayed any time...=

### Company Instructions

Companies faced with complex legal issues always instruct advocates to tackle them on their behalf in court. However, advocates have the discretion to either accept or refuse such instructions.

**Order 19 Rule 1 of the CPR** provides that pleadings for a suit by or on behalf of a corporation may be signed on by the secretary or any director or other principal officer of the company.

## The ultimate questions:

*If counsel is accepting or refusing instructions from a company, what are the guiding principles to be followed? Should counsel be concerned with the capacity of the person giving him or her instructions on behalf of the company? How does court determine whether counsel was given instructions from a company or not? What follows when counsel receives and accepts instructions from a client company?*

### **Receipt and acceptance of instructions by counsel constitutes a binding contract between the client and counsel.**

Having seen that receipt and acceptance of instructions by counsel constitutes a binding contract, resort can be made to **Section 50(1) of the Companies Act, 2012** which provides that a company may make a contract, by execution under its common seal or on behalf of the company, by a person acting under its authority, express or implied.

A thumb rule of contract law is that a contract can either be in writing or made orally. Are instructions to counsel required to be in writing? No! There is no law which says that instructions to counsel should be in writing. Counsel can receive instructions orally as long as it can be proved that he was duly given instructions.

*<A person dealing with the company=*

A person deals with a company if he/she is a party to any transaction to which the company is a party and is presumed to have acted in good faith. It follows therefore that  
<Counsel's acceptance of instructions from a company amounts to counsel becoming a party to a transaction with the company.=

*Before acting for a company, should counsel first enquire whether the directors giving him/her instructions are authorized by the company's constitution to do so?*

The proper answer to this question can be found under **Section 52 and 53 of the Companies Act** which shows that the powers of directors to bind the company or

authorize other persons to bind the company in favor of a person dealing with the company, shall not be limited by the company's memorandum.

However, if one is to invoke the <Indoor management rule=, counsel need not enquire whether the company director(s) who gave him instructions were actually permitted by the company's memorandum of association to do so. **Section 53 of the Companies Act** shows that a party is not bound to enquire as to the capacity of a company or any limitation on powers of the directors to bind the company. It follows therefore that if counsel acts for a company in good faith on instructions given to him/her by any of the company directors, any argument to the effect that counsel was not instructed to act for the company can be overpowered if counsel invokes the indoor management rule. In **CTM v. Allmus(2018)** court noted that <it would make business very difficult if persons dealing with the company in good faith would have to ascertain that the internal procedures of the company have been complied with.=

*Who can bind a company for purposes of giving instructions to counsel?*

Any person acting under the express or implied authority of the company E.g., Director who may be an **Actual director** (one listed as a director in form 20), **De-facto director** (one not appointed but runs the company as director), or **Shadow director** (runs the company behind scenes), or a Company Secretary, or any person with implied authority to handle legal matters for the company.

There is no requirement for a company to first pass a resolution to authorize counsel to take on a matter on its behalf. This position was set in **Kasaala Growers Co-operative Society v. Kakooza & anor (Supreme Court Civil Application No.19 of 2010)** where the court said that, <A resolution of the board of directors of a company is not necessary for the institution of a suit in the name of the company. Any director of the company who

is competent to exercise the powers vested in the board of directors can give instructions for filing a suit in the name of the company.=

The person who gives instructions to counsel must be regarded as <competent= to do so on behalf of the company. The Supreme Court in **Kasaala Growers case** pointed out that 8any director who is competent to exercise the powers vested in the board of directors can give instructions for filing a suit in the name of the company.9

*Who is a 8competent9 and 8non-competent9 director?*

Much as a company may have directors, not all directors are competent. It should be noted that much as the law and cases set out the principles governing who has power in a company to give counsel instructions, it is prudent practice that counsel handles the cases on <a case-by-case basis= in order to find out whether or not the director giving instructions is competent to do so.

Counsel should always be kin to the fact that <when receiving instructions to represent a company itself, he/she must receive such instructions from the company directors on the Board of directors and not from the shareholders. In **Foss v. Harbottle(1843)** it was stated that, in order to redress a wrong done to the company, the action should be brought by the company itself and not the shareholders. This principle is in line with the rule in **Percival v. Wright**, that directors9 duties are owed to the company and not to the shareholders. It also embodies the **Salomon v. Salomon** ruling, that the company is a separate entity from the shareholders and thus has its own right to sue as itself (in its own name).

In **Attorney General v. Goodman Agencies Ltd and others (High Court Civil Division Misc. Application No. 361 of 2015)**, the Attorney General brought the application seeking court9s guidance on who was entitled to receive payment for the previous judgement which Goodman Agencies had won. The shareholders and the directors could not agree on who was entitled to receive the payment. The shareholders had instructed a law firm to receive the payment. However, the directors had not instructed the said law

firm since they had withdrawn instructions from them. Court held that the shareholders could not claim for the money as they did not have a right to. It was the company through the board of directors to claim for the money. The company had not instructed the law firm and this meant that the law firm was acting for the shareholders and not the company.

If counsel is approached by aggrieved company shareholders to pursue a suit on behalf of the company itself, counsel should decline to proceed with this approach and advise them to proceed with a <derivative suit= instead. Failure to do so can lead counsel to positioning himself in danger of being considered as acting without instructions. Derivative actions are the only way shareholders can proceed to make good the wrongs done within the company. In **Atwool v. Merriweather (1867)** court explained that provided a decision not to sue has not been made by a majority of the company competent organ, individual shareholder may bring a derivative action in respect of a complaint in their capacity as members of the company where those in control are allegedly at fault.

Counsel should be cautious not to act on instructions from a person who might be passing off him/herself as a director. In **City African Textile Shop Ltd v. Jan Mohamed Ltd (High Court Commercial Division Misc. Application 0437 of 2002)**, a person who passed off himself as the executive director had given instructions to counsel. Court held that the letter instructing counsel to represent the applicants was not signed by the real managing director but by a person whose name did not appear in the list of directors filed with the registrar of companies. The letter could not give authority to counsel to act.

HOW CAN COUNSEL PROVE THAT HE HAD INSTRUCTIONS TO ACT FOR THE COMPANY?

1. Producing the contract for provision of legal services.
2. Producing the board resolution extract showing the directors agreement to instruct counsel.



3. Producing an instruction letter or email by a director or other authorized officer of the company
4. Presence of the company director or officer in court can be a proper way to prove that counsel is under instructions to pursue the suit.
5. A signature of a company director or other authorized officer on an affidavit or other pleadings produced in court can be good evidence to prove that counsel is acting on instructions

#### CONCLUSION: POINTS FOR CONSIDERATION.

1. Counsel must get instructions from a director(s) or other principal officer who has express or implied authority.
2. Shareholders have no locus standi to instruct counsel to sue on behalf of the company.
3. A board resolution is not mandatory for valid instruction
4. The indoor management rule is a doubled edged sword.

# SIKIA

# Low

## CORPORATE CRIMINAL LIABILITY

Companies can be held liable for offenses committed by their officers by attributing *mens rea* to corporations. This is born by the famous <direct mind theory>. In *R v Fane Robinson Ltd.*, [1941] 3 DLR 409 wherein court held that since a corporation could enter legally binding agreements with individuals and other corporations, it could be said to entertain *mens rea* (that vital blameworthiness for criminal liability). In this case, the corporation and two of its 8directing minds9 were convicted of conspiracy to defraud and obtaining money by false pretenses.

In the **Penal Code Act**, the definition of a 8person9 is used in reference to ownership of property to include corporations of all kinds and any other association of persons capable of owning property, and also when so used include the Government.

In *Iridium India Telecom Ltd v. Motorola Incorporated & Others*, a company was charged with offences of cheating and criminal conspiracy on the basis of alleged false representations made by the company. Rejecting the argument that a company cannot possess the requisite *mens rea* to commit a crime, the court held that a corporation is virtually in the same position as any individual and may be convicted of common law, as well as statutory offences, including those requiring *mens rea*.

SIKIA  
Low